



ANNOUNCEMENT OF AUDITED RESULTS FOR YEAR ENDED 30 JUNE 2014

The Directors of the East African Portland Cement Company Limited met on 22 October 2014 and are pleased to announce the audited results for the year ended 30 June 2014.

Consolidated Statement of Comprehensive Income for the year ended 30 June 2014

	2014 Sh' 000	2013 Sh' 000
Revenue	9,057,292	9,211,462
Cost of Sales	(6,661,720)	(6,878,139)
Gross Profit	2,395,572	2,333,323
Other Operating Income	300,029	93,376
Administration and Selling Expenses	(2,788,556)	(2,085,768)
Profit/(Loss) from Operating Activities	(92,955)	340,931
Finance Income	1,427	66,000
Finance Costs	(318,941)	(311,612)
Exchange Gains on Forex Loan	36,769	594,113
Fair Value Gain on Investment Property	-	730,046
Profit/(Loss) Before Tax	(373,700)	1,419,478
Taxation (Charge)/Credit	(12,931)	355,905
Profit/(Loss) After Tax	(386,631)	1,775,383
Other Comprehensive Income	1,049	713,451
Total Comprehensive Income	(385,582)	2,488,834
Earnings Per Share	(4.30)	19.73

Consolidated Statement of Financial Position as at 30 June 2014

	2014 Sh' 000	2013 Sh' 000
Assets		
<i>Non-current assets</i>		
Property, plant & equipment	8,293,680	8,149,312
Intangible and other non-current assets	9,498	51,474
Investment property	2,225,046	2,225,046
Loan swap asset	1,834,377	2,044,066
Rrestricted deposits	30,595	61,742
Total non-current assets	12,393,196	12,531,640
<i>Current assets</i>		
Inventories	2,199,517	2,191,123
Trade and other receivables	961,885	1,008,320
Cash and cash equivalents	162,659	402,620
Total current assets	3,324,061	3,602,063
Total assets	15,717,257	16,133,703
Equity and Liabilities		
<i>Capital and reserves</i>		
Share capital	450,000	450,000
Share premium	648,000	648,000
Asset revaluation reserve	1,884,722	1,900,899
Retained earnings	3,721,953	4,091,358
Total equity	6,704,675	7,090,257
<i>Non current liabilities</i>		
Staff gratuity	917,954	677,904
Deferred tax liability	759,030	750,087
Loan swap liability	1,667,493	1,895,374
Obligations under Lease	15,525	43,155
Long-term Loan	2,140,291	2,357,448
<i>Current liabilities</i>		
Current Portion of Long-term Loan	477,679	324,945
Post Import Finance	324,274	-
Trade and other payables	2,710,336	2,994,533
Total liabilities	9,012,582	9,043,446
Total equity and liabilities	15,717,257	16,133,703

Consolidated Statement of Cash Flows for the year ended 30 June 2014

	2014 Sh' 000	2013 Sh' 000
Cashflow Generated from Operations	743,103	779,757
Interest Paid	(305,812)	(300,986)
Interest Received	2,038	7,876
Taxation Paid	(914)	(1,086)
Cash Generated From Operating Activities	438,415	485,561
Net Cash Used in Investing Activities	(597,505)	(161,971)
Dividend Paid	-	-
Repayment of Lease obligation	(38,200)	(49,717)
Post import Finance	363,668	-
Asset Financing Loan	401,551	57,378
Loan Repayment	(502,944)	(414,840)
Net Cash Generated from/(Used in) Financing Activities	224,075	(407,179)
Net Increase (Decrease) in Cash and Cash Equivalents	64,985	(83,589)
Cash and Cash Equivalents as at 1st July	(450,603)	(368,522)
Effect of Foreign Currency Translation Reserve	1,049	1,508
Cash and Cash Equivalents as at 30 June	(384,569)	(450,603)

PERFORMANCE

The Company's performance this year was adversely impacted by the difficult trading environment that was characterised by price competition, high staff costs and a weakening shilling. A net loss of Kshs386 million was recorded compared to a net profit of Kshs 1.7 billion (which included Fair Value Gain on Investment Property Kshs730m and Kshs594m FX Gains) in the prior year. Turnover decreased by 2% over prior year due to price reductions however, production and sales volume increased by 2% during the year. Cost of sales reduced by 3% following successful cost management and increasing efficiencies thereby increasing gross profit margin to 26% from 25% the previous year. Administrative costs however increased by Kshs 700m due to increase in staff costs driven by restructuring management and staff compensation in line with job evaluation and an increase in staff gratuity all amounting to a total of Kshs 400m above prior year. Further the Company paid penalties following arbitration in relation to disputed contracts amounting to Kshs 200m. As a result, Operating profit declined by kshs 434 million against prior year, resulting to a loss of Kshs 93 million compared to an operating profit of kshs 340 million reported in the prior year.

FUTURE OUTLOOK

Cement market remains on a growth trajectory driven by heavy infrastructure spending by government and large scale real estate developments in the country. Due to this outlook the industry has attracted large investments by new and existing players hoping to cash in on the boom. The Company has not been left behind and is aggressively investing in new machinery and equipment to improve efficiency and capacity. In the coming year the Company plans to spend Kshs 2.5 billion in new investments. Already the new precast plant is in production and a new packing line, cement mill feeding system and ESP conversion are under way. The Company is mainstreaming its resources in the implementation of its strategic plan over the coming year. The strategic plan envisages completion of high impact capital projects and unlocking at least 400,000 MT in additional cement production per year in the coming year. However, the market will continue to be highly competitive and is likely to see declining prices for the foreseeable future.

DIVIDEND

The directors do not recommend payment of a dividend.

ANNUAL GENERAL MEETING

The date of the Annual General meeting will be announced later.

BY ORDER OF THE BOARD

SHEILA KAHUKI
SECRETARY